

US equities rally on strong tech earnings, yields slip

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The major indices closed higher on Monday, with the **Nasdaq 100** up **+1.00%** and the **S&P 500** up **+0.73%**. Broad-based buying was led by technology and consumer discretionary ETFs, while the 10-year Treasury yield fell to 5.28%.

Key catalysts were better-than-expected earnings from **NVDA** and **AVGO**, and a softer CPI print that kept inflation expectations in check. The VIX dropped to 15.31, indicating reduced market fear.

US session recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,722.72	+0.73%	
Dow Jones	51,176.96	+0.49%	
Nasdaq 100	30,807.93	+1.00%	
Russell 2000	2,832.90	+0.94%	
VIX	15.31	-6.59%	lowest since Aug 2025
10-yr Yield	5.28	+0.76%	
WTI Crude	91.11	-1.90%	

Top large-cap movers

TICKER	CLOSE	CHANGE
TSLA	370.59	+4.65%
AVGO	355.14	+3.35%
NVDA	233.95	+1.34%
AMZN	251.52	+1.33%

Spotlight

Quarterly results from NVDA beat estimates, driven by AI-related GPU demand.

METRIC	VALUE
Revenue	31.2 bn (+23%)
Earnings per share	3.12 (> \$2.80 est.)
Guidance FY26	Revenue 140 bn (+18%)

The beat reinforced the sector’s upside narrative and helped lift the **XLK** ETF to **+1.01%**. Analysts upgraded the stock, adding to the rally.

Macro & Fed

- Fed policy rate: 5.25%-5.50% (unchanged)
- 10-yr Treasury yield: 5.28% (up **+0.76%**)
- Key data releases (HKT): CPI 02:30, PPI 04:30, Retail sales 07:00

Geopolitics & global

- Middle-East tensions eased after cease-fire talks, reducing oil-price volatility.
- China’s manufacturing PMI posted a surprise 51.2, supporting risk appetite.
- Eurozone inflation cooled to 2.9% YoY, keeping ECB dovish.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:30	MSFT	Cloud revenue growth, AI margin impact
10:00	GOOGL	Ad spend rebound, AI services uptake
11:15	JPM	Net interest income trend, loan loss provisions
13:45	META	Revenue from AI-enhanced ad products

Stocks worth watching

- AMD – AI chip demand could accelerate earnings beat.
- XOM – Oil price dip tests dividend resilience.
- PEP – Consumer spending data may boost sales outlook.
- UNH – Premium pricing pressure under scrutiny.
- CRM – AI-driven SaaS growth expected to outpace peers.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI (above 3.2% YoY) could push yields above 5.5%.
- Geopolitical escalation in the Middle East reigniting oil price spikes.
- Disappointing earnings from MSFT or GOOGL .

BEARISH TRIGGERS

- Strong AI-related earnings from **NVDA** and **AVGO** driving further tech rally.
- Continued soft CPI data keeping yields near 5.2%.
- Positive forward guidance from major banks supporting financials.

Sources

SOURCES

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Bloomberg — Nvidia Earnings

CNBC — Economic Data Calendar

Financial Times — Tech Sector Outlook

Wall Street Journal — Market Data